CD: Certificate of deposit; money lent to banks for a set period of time, usually between one month and five years, in exchange for compound interest, usually at a fixed rate.

COBRA: Consolidated Omnibus Budget Reconciliation Act; a federal law that requires most employers to allow terminating employees to continue their health insurance coverage at the employee's expense, for a limited time.

compound interest: A method of accruing interest. If interest earned on an investment is calculated only on the original amount invested, it's known as simple interest. If interest earned is calculated on the original amount plus any previously earned interest, it's known as compound interest, which makes the investment grow more quickly.

defined-contribution retirement plan: A retirement plan offered by employers that allows employees to contribute to the plan but does not guarantee a predetermined benefit at retirement. 401(k), 403(b), 457, and profit-sharing plans are examples.

DRIP: Dividend reinvestment plan. DRIPs allow investors to automatically reinvest their dividends in the company's stock rather than receive them in cash. Many companies waive the sales charges for stock purchased under the DRIP.

escrow: Money or other assets held by an agent until the terms of a contract or agreement are fulfilled. Many mortgage companies require borrowers to pay prorated property taxes monthly with their mortgage payment. These funds are held in an escrow account until payment is due to the local government.

foreclosure: A legal process that terminates an owner's right to a property, usually because the borrower defaults on payments. Home foreclosures usually result in a forced sale of the property to pay off the mortgage.

head of household: A tax-filing status that provides tax breaks to single parents who maintain a home for one or more eligible dependents.